CASCADIA ANALYTICS

Intel Corporation

Equity Research Note | INTC | 22 OCTOBER 2026

Turnaround Inflection

Intel screens as a Hold, Valuation Concerns with a $43.67 blended target, 50% below the current price.

Analyst: Justin Wen

REFERENCE PRICE	BLENDED TARGET	BLENDED UPSIDE	
$87.65	$43.67	-50%	HOLD, VALUATION CONCERNS

Investment Thesis

Turnaround Inflection. Q2 revenue up 25.4%, the fastest growth in more than 15 years; gross margin recovered to 40.4% from 27.5% a year earlier [Q2'26 ER]. Priced for Perfection. At $87.65 the market implies a 26.4% revenue CAGR, euphoric per our reverse DCF; DCF base $43.27 means 51% downside on fundamentals [DCF 17-Oct-26]. Foundry Optionality. The stock is a call option on external foundry wins. The EMIB-T packaging order book is the near-term proof point [Press Oct-26].

- Turnaround Inflection
- Priced for Perfection
- Foundry Optionality

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The latest print

Priced for Perfection. At $87.65 the market implies a 26.4% revenue CAGR, euphoric per our reverse DCF; DCF base $43.27 means 51% downside on fundamentals.

Foundry Optionality. The stock is a call option on external foundry wins. The EMIB-T packaging order book is the near-term proof point.

$16.13B	40.4% GAAP	$6.26B	~$5.8B	-$2.1B	$0.42
REVENUE (Q2 2026)	GROSS MARGIN (Q2 2026)	DATA CENTER & AI REVENUE	INTEL FOUNDRY REVENUE	FOUNDRY OP LOSS	NON-GAAP EPS (Q2 2026)

Key metrics in detail

METRIC	LATEST	VS YEAR AGO	TREND
Revenue (Q2 2026)	$16.13B	+25.4%	Up
Gross Margin (Q2 2026)	40.4% GAAP	+12.9 pts	Up
Data Center & AI Revenue	$6.26B	+59%	Up
Intel Foundry Revenue	~$5.8B	+31%	Up
Foundry Op Loss	-$2.1B	narrowing	Improving
Non-GAAP EPS (Q2 2026)	$0.42	beat $0.21 est	Up
Total Debt	$50.5B	D/E 0.49	Stable

The moat

Data Center & AI revenue up 59% on Xeon 6 demand; Nvidia is integrating Xeon 6 into DGX Rubin NVL8 after its $5B equity stake

The growth engine

18A yields beat target by ~25%; custom ASIC arm at ~$2B run-rate revenue targeting $4B

Three scenarios make the valuation range explicit

Three scenarios, weighted 25% / 50% / 25% into the blended target.

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SCENARIO	WEIGHT	2026-31 CAGR	2031 REVENUE	2031 EBIT MARGIN	TARGET	UPSIDE
Bear	25%	5.0%	$80.41B	23.1%	**$34.94**	-60%
Base	50%	10.0%	$101.46B	22.8%	**$43.27**	-51%
Bull	25%	15.0%	$126.72B	22.6%	**$53.20**	-39%

Bear: downside case at $34.94 (-60%).

Base: central case at $43.27 (-51%).

Bull: upside case at $53.20 (-39%).

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The probability-blended target implies 50% downside

A 25% Bear / 50% Base / 25% Bull weighting implies -50% from the $87.65 reference price.

$43.67
BLENDED TARGET

The valuation uses a multi-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

Mechanics are explicit. The bridge runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Revenue base (2026E)	**$63.00B**
Valuation horizon	**2026-2031**
Live WACC	**9.19%**
Terminal growth	**2.5%**
Net cash	**$2.20B**
2031 FCF (Base)	**$18.26B**
10-year Treasury yield	**4.9%**
Beta	**1.30**
Equity risk premium	**3.6%**

HOLD, VALUATION CONCERNS | $43.67 BLENDED TARGET | WEN

The reverse DCF: what the market prices in

Holding the base-case FCF margin flat, the market-implied revenue CAGR is 26.4%, at/above Bull (15%) — euphoric.

Reverse DCF sensitivity

Implied enterprise value and share price at each 6-year revenue CAGR, with the base-case free cash flow margin held flat. The highlighted row sits nearest the market-implied CAGR.

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CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price
+0%	$155.9B	$29.92	+20%	$354.7B	$67.54	+40%	$729.6B	$138.47
+1%	$162.9B	$31.24	+21%	$368.6B	$70.16	+41%	$754.6B	$143.20
+2%	$170.1B	$32.61	+22%	$382.9B	$72.86	+42%	$780.4B	$148.07
+3%	$177.6B	$34.03	+23%	$397.6B	$75.65	+43%	$806.8B	$153.07
+4%	$185.4B	$35.50	+24%	$412.9B	$78.53	+44%	$834.0B	$158.21
+5%	$193.5B	$37.03	+25%	$428.6B	$81.50	+45%	$861.9B	$163.49
+6%	$201.9B	$38.61	+26%	$444.7B	$84.57	+46%	$890.5B	$168.92
+7%	$210.5B	$40.25	**+27%**	**$461.4B**	**$87.73**	+47%	$920.0B	$174.49
+8%	$219.5B	$41.95	+28%	$478.6B	$90.98	+48%	$950.2B	$180.20
+9%	$228.8B	$43.71	+29%	$496.4B	$94.33	+49%	$981.2B	$186.07
+10%	$238.4B	$45.53	+30%	$514.6B	$97.79	+50%	$1013.1B	$192.10
+11%	$248.4B	$47.41	+31%	$533.4B	$101.35			
+12%	$258.7B	$49.36	+32%	$552.8B	$105.02			
+13%	$269.3B	$51.38	+33%	$572.8B	$108.79			
+14%	$280.4B	$53.47	+34%	$593.3B	$112.68			
+15%	$291.8B	$55.62	+35%	$614.4B	$116.68			
+16%	$303.6B	$57.85	+36%	$636.2B	$120.79			
+17%	$315.7B	$60.16	+37%	$658.6B	$125.03			
+18%	$328.3B	$62.54	+38%	$681.6B	$129.38			
+19%	$341.3B	$65.00	+39%	$705.3B	$133.86			

Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

SCENARIO	ENTERPRISE VALUE	EXIT EV/ FCF	TERMINAL GROWTH	PLUS: NET CASH	EQUITY VALUE	TARGET
Bear	$183.60B	—	2.5%	$2.20B	$185.80B	**$34.94**
Base	$227.94B	—	2.5%	$2.20B	$230.14B	**$43.27**
Bull	$280.81B	—	2.5%	$2.20B	$283.01B	**$53.20**

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Terminal value share and terminal WACC

We disclose how much of each scenario value sits in the terminal year. Terminal value is 81.9% of Base enterprise value (Bear 80.6%, Bull 83.0%). The terminal WACC is 8.54% in Base (Bear 8.54%, Bull 8.54%), on a terminal beta of 1.10 (Bear 1.10, Bull 1.10).

Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

SCENARIO	2026	2026	2027	2028	2029	2030	2031
Bear	$34.94	$38.16	$41.03	$43.77	$46.34	$48.69	$50.74
Base	$43.27	$47.26	$50.97	$54.58	$58.00	$61.13	$63.83
Bull	$53.20	$58.11	$62.81	$67.46	$71.93	$76.03	$79.53

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $43.67 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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The franchise deep dive

Data Center & AI revenue up 59% on Xeon 6 demand; Nvidia is integrating Xeon 6 into DGX Rubin NVL8 after its $5B equity stake

18A yields beat target by ~25%; custom ASIC arm at ~$2B run-rate revenue targeting $4B

US government equity stake plus $11.1B in CHIPS Act funding de-risks the fab build-out

Revenue and margin trend

METRIC	FY22	FY23	FY24	FY25	TTM
Revenue	$63.1B	$54.2B	$53.1B	$52.9B	$57.0B
Net Margin	12.7%	3.1%	-35.3%	-0.5%	n/a
FCF Margin	n/a	n/a	-29.5%	-9.4%	n/a

Valuation cross-check

NTM P/E 42.7x

EV/Revenue (TTM) 9.3x

DCF Base $43.27

Market implies a 26.4% revenue CAGR. With the base case 51% below the price, this is a narrative price, not a fundamentals price.

No sell-side IDM peer table in coverage

Consensus target $109.06 (Hold) offers +19%, far below what the price action implies.

Stock up 200%+ YTD, 20% off the $142 52-week high

Trading near the top of its historical range on turnaround faith, not realized returns.

What to monitor

29-Oct-2026. Q3 2026 Earnings (Two-Sided): guidance is $15.8-16.8B revenue and $0.38 non-GAAP EPS. A test of the re-acceleration thesis.

H2 2026. 14A Customer Decisions (Positive): CFO claims conviction on landing external 14A customers, but none are named yet. Firm decisions are expected now.

2027-2028. EMIB-T Packaging Ramps (Two-Sided): reported Google/Amazon/Meta orders worth several billion dollars per customer; TSMC now publicly offers fallback capacity.

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Financial summary: income statement

YEAR	REVENUE	GROSS PROFIT	OPERATING INCOME	EBITDA
2021	$79.0B	$43.8B	$19.5B	—
2022	$63.1B	$26.9B	$2.3B	$21.3B
2023	$54.2B	$21.7B	$31M	$11.2B
2024	$53.1B	$17.3B	$-4.7B	$1.2B
2025	$52.9B	$18.4B	$-23M	$14.4B

Balance sheet

YEAR	TOTAL ASSETS	TOTAL LIABILITIES	TOTAL EQUITY	CASH
2022	$182.1B	$78.8B	$101.4B	$11.1B
2023	$191.6B	$81.6B	$105.6B	$7.1B
2024	$196.5B	$91.5B	$99.3B	$8.2B
2025	$211.4B	$85.1B	$114.3B	$14.3B

Cash flow

YEAR	OPERATING CF	CAPEX	FINANCING CF	FREE CF
2022	$15.4B	$-24.8B	$1.1B	$-9.4B
2023	$11.5B	$-25.8B	$8.5B	$-14.3B
2024	$8.3B	$-23.9B	$11.1B	$-15.7B
2025	$9.7B	$-14.6B	$11.6B	$-4.9B

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Agency risk score 91 of 100: founder-mode alignment, high conviction

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 13.99% of shares outstanding. Form 4 filings over the trailing six months show $10.00M of open-market purchases against $6.49M of sales, a net flow of $3.51M. One-year total shareholder return is +143.6% against CEO total pay of $3.83M (Mr. Lip-Bu Tan), which the model scores as PERFORMANCE EARNED.

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AGENCY RISK SCORE, OF 100

The three components

COMPONENT	SCORE	WHAT THE SITE SHOWS
Insider Ownership (Skin in the Game)	35 / 40	13.99% of shares held by insiders
Form 4 Flow (Conviction Flow)	30 / 30	Buys $10.00M (1) vs sales $6.49M (2), net $3.51M, trailing six months
Pay-for-Performance	26 / 30	PERFORMANCE EARNED: Stock Outperformance Matches Comp Structure. 1Y TSR +143.6%; Mr. Lip-Bu Tan, CEO & Director, total pay $3.83M
Agency Risk Score	**91 / 100**	Regime: FOUNDER-MODE // HIGH CONVICTION

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Recent Form 4 filings

DATE	FILER	RELATION	TYPE	SHARES	VALUE
2026-08-11	Tan Lip-Bu	Chief Executive Officer	BUY	105,263	$10.00M
2026-05-29	Chandrasekaran Nagasubramaniyan	Chief Technology Officer	SELL	21,024	$2.49M
2026-05-01	Miller Boise April	Officer	SELL	40,256	$4.01M

SEC proxy audit, DEF 14A filed 2026-03-23

Alignment grade B. NEW CEO LEADERSHIP TRANSITION. Lip-Bu Tan, fiscal 2025 vs fiscal 2024; total compensation change year on year: N/A.

BASE SALARY	STOCK AWARDS	NON-EQUITY INCENTIVE	OTHER COMPENSATION
N/A	N/A	N/A	N/A

Intel initiated a major leadership overhaul in early 2025 by appointing Lip-Bu Tan as CEO to lead a multiyear reinvention focused on manufacturing execution and operational discipline. The excerpt establishes the transition framework and CD&A outline but omits the Summary Compensation Table figures from page 62. Quantitative alignment and incentive payout percentages cannot be determined directly from the provided introductory and governance text.

Proxy audit source: SEC EDGAR DEF 14A, audited 2026-10-18 by the weekly proxy pipeline. Filing: https://www.sec.gov/Archives/edgar/data/50863/000005086326000061/proxy2026.htm

Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 22 October 2026 for this note.

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The bear case

Foundry Execution

External foundry revenue was only $293M of ~$5.8B in Q2; Intel has warned it may exit manufacturing if it cannot attract outside customers.

Competitive Pressure

TSMC's 2nm process, AMD's EPYC outpacing Xeon 6, and Nvidia's near-monopoly in AI accelerators leave Gaudi with a structural ecosystem disadvantage.

Capital Intensity

FY25 free cash flow was -$4.9B with $50.5B of debt and a suspended dividend; the heavy capex program must be funded while the foundry loses money.

The strengths

Operating Quality

An integrated device manufacturer with massive scale and gross margin recovering from 27.5% to 40.4% in a year. But the foundry still loses $2B+ a quarter, free cash flow was -$4.9B in FY25, and the dividend is suspended. A turnaround in progress, not a quality compounder yet.

Recent Trend

Revenue growth re-accelerated from 7% to 25.4% YoY, EPS beats are stacking (Q2 non-GAAP $0.42 vs $0.21 est), and the stock is up 200%+ in 2026. But it sits 20% off its high and fell 5.8% on Oct 16 when TSMC courted Intel's packaging customers.

Forward Growth

Forward growth rests on foundry wins that are not signed yet: 14A customer decisions are due now, the EMIB-T packaging book is reported but unconfirmed, and consensus sees FY26 EPS of just $1.04. Genuine optionality, but speculative.

Valuation

At $87.65 the market prices a 26.4% revenue CAGR, which our reverse DCF labels euphoric. DCF base $43.27 means 51% downside on fundamentals; NTM P/E is 42.7x. You are paying for the foundry win twice over.

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Cascadia scorecard

Composite score 51: Fair. Confidence Medium, as of 17-Oct-2026.

PILLAR	RATIONALE	SCORE
Operating Quality	An integrated device manufacturer with massive scale and gross margin recovering from 27.5% to 40.4% in a year. But the foundry still loses $2B+ a quarter, free cash flow was -$4.9B in FY25, and the dividend is suspended. A turnaround in progress, not a quality compounder yet.	55
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Catalysts & Risk	Q3 earnings on Oct 29 and 14A customer decisions are near-term and two-sided. Nvidia's $5B stake and the US government backstop limit downside tails, but the Kiryat Gat explosion, TSMC's packaging poaching, and $50.5B of debt keep the risk bar high.	52

Investment view

A named external 14A customer, or a Q3 beat that converts reported packaging orders into booked revenue, would lift Forward Growth and Catalysts. Conversely, continued foundry losses with no external wins would cut Trend and Growth further, and the valuation pillar has little floor while the price sits 2.7x our base case.

Investment view: Hold, Valuation Concerns. The $43.67 blended target implies -50%, balancing the $34.94 / $43.27 / $53.20 Bear / Base / Bull outcomes.

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